Chapter - 01

***1. Define auditing and features, explain the objectives of auditing

1. **Definition**: Auditing is the systematic and independent examination method of a company's books and records to ensure that the financial statements present a true and fair view of its financial position and results.

2. **Objectives of Auditing**:
   a. **Primary Objective**: To report to the owners whether the balance sheet gives a *true and fair view* of the company's financial state and whether the profit and loss account shows the correct profit or loss for the financial year.
   b. **Secondary (Incidental) Objectives**: To detect and prevent **frauds** and **errors**.
      i. Detection and prevention of frauds
      ii. Detection and prevention of errors

2. Distinguish between Error and Fraud

- **Error**: Mistakes committed innocently and unintentionally while making entries in the books of accounts. For example, forgetting to enter a supplier's invoice in the books.
- **Fraud**: Fake entries or Intentional misrepresentation in the books of accounts with a certain motive, usually for personal gain. Such as, Manipulating sales records to hide cash received.

3. How fraud is committed in an organization

Fraud in an organization is any act that causes financial loss or misrepresents accounts. It can be done by employees or management and may involve theft, misuse of assets, or manipulation of records.
Fraud can be committed in two main ways:

Fraud through defalcation happens when employees steal or misuse cash or goods for personal gain. The main methods are:

1. Not recording receipts in the cashbook.
2. Destroying the carbon copy/counterfoil of receipts.
3. Entering a smaller amount on the receipt counterfoil and keeping the difference.
4. Not recording casual sales like sales of scrap, old newspapers, etc.
5. Not recording cash donations received from charitable institutions.
6. Keeping the cash received from discounted bills, but still showing the bills as unpaid in the accounts.

7. Taking cash from debtors and hiding it by showing fake credits like bad debts, discounts, or sales returns in the accounts.
8. Using the 'teeming and lading' (lapping) method, an employee takes cash from one debtor and covers it with cash received from another debtor. This cycle continues throughout the year to hide the theft.
9. Hiding cash sales by either not recording them or recording them as credit sales.
10. By recording fictitious or fake payments

Fraud through Manipulation of Accounts: This occurs when accounts are presented more favorably than they actually are. It is called window dressing because the financial statements are manipulated to show a false picture of profit, loss, or the company's financial position.

- **Characteristics:**
    a. Usually done by top management.
    b. Does not involve stealing cash or goods.
    c. Can involve overstating or understating profits.
    d. Done with a specific objective and is relatively hard to detect.

Circumstances that may raise auditor's suspicion:

1. Missing vouchers, invoices, cheques, or contracts.
2. Control accounts not matching subsidiary books.
3. Unexplained differences in the trial balance.
4. Large fluctuations in Gross Profit (G.P.) or Net Profit (N.P.) ratios.
5. Differences between balances and confirmations from parties.
6. Differences between stock records and physical count.
7. Unsatisfactory explanations from the client.
8. Overwriting of figures in records.
9. Contradictory explanations given by different parties.

Question 1: Types of Audit

Answer:

Audits can be classified into different types based on **legislation** and **periodicity**.

A. On the Basis of Legislation

1. **Statutory Audit:** Statutory audit is an audit undertaken under any specific statute or Act.It's a legally required audit, such as the audit of companies under the Companies Act.
   Purpose: To ensure that financial statements give a *true and fair view* of the company's financial position.

2. **Government Audit:** A *government audit* is conducted by the government's auditing authorities to check the proper use of public funds.
   Purpose: To ensure accountability and transparency in the use of public money.

3. **Private Audit:** A *private audit* is conducted voluntarily by non-government organizations, firms, or individuals.
   Purpose: To ensure accuracy and reliability of accounts for personal or management use.

B. On the Basis of Periodicity

1. **Interim Audit:** An *interim audit* is conducted between two annual audits, for a specific period such as 30th September or 31st December. During this audit, a **trial balance** is prepared and verified, and **financial statements** are drawn up for that part of the year.
   Purpose: To review accounts periodically and prepare interim financial results.
   Note: It is generally less independent than a statutory audit and often done by an internal auditor.

2. **Continuous Audit:** A *continuous audit* is one where the auditor's staff checks the accounts **throughout the year** or at frequent intervals (e.g., weekly).
   Purpose:
   - To maintain stricter control over accounts.
   - To detect and prevent fraud or errors early.
   - To keep the client's books of accounts up to date.

Chapter - 02

---

1. Define Error and Explain the Types of Error (10 Marks)

Definition of Error:
Error refers to **unintentional misstatements or misdescriptions** in the books of accounts caused by negligence or ignorance.

Types of Errors:

1. **Principal Errors:**
    a. Occur when accounting principles are violated.
    b. Example: Treating capital expenditure as revenue expenditure.
    c. Trial balance usually still agrees, making these errors hard to detect.

2. **Clerical Errors:**
   Arise due to carelessness or technical mistakes. Classified as:
    a. **Error of Commission:** Wrong posting, wrong totals, or wrong balance carried forward.
    b. **Error of Omission:** Full or partial omission of transactions.
    c. **Compensating Errors:** One error offsets another, so trial balance still agrees but profit may be misstated.

2. Symptoms of Risk of Fraud and Error in an Organization (10 Marks)

1. **Internal Control Weakness:**
    - Poorly designed or non-implemented control systems, e.g., one person handling all mail.

2. **Management Integrity Issues:**
    - Doubts about management competence, domination by one person, high employee turnover, frequent change of auditors/legal advisors.

3. **Unusual Pressures:**
    - Company under pressure to show profits, dependence on single product line, inadequate working capital.

4. **Unusual Transactions:**
    - Deals with related parties, excessive payments for services, unusual adjustments.

5. **Audit Evidence Problems:**
   Missing or insufficient documentation, major mismatches between books and third-party confirmations.

3. Relevant Accounting Concepts to Be Followed During Auditing (10 Marks)

1. **Going Concern Concept:**

    - Assumes the business will continue indefinitely; assets are recorded at cost, not liquidation value.

2. **Historical Cost Principle:**
    - Assets are recorded at their original purchase price and shown at cost in financial statements.

3. **Conservatism Convention:**
    - Anticipate all possible losses but not unrealized profits; apply “lower of cost or market” rule for inventory.

4. **Matching Principle:**
    - Match revenues with corresponding expenses of the same period to calculate correct profit.

Suggestions

Chapter - 1

1. Define auditing and objective of auditing
2. Differences between error and fraud
3. How cash and goods deflection in an organisation.
4. Type of audit.

Chapter - 2

1. Explain the type of error with examples
2. Discuss the relevant Accounting Principles/GAAP followed by auditor during auditing
3. What are the risks of fraught and error?

Chapter -3

1. Define internal control and explain its techniques.
2. Define vouching and what points to be checked during vouching. 12 point
3. Differences between internal and external audit

Set - 4

- write short note on

1. Teaming and leading.
2. Verification of assets
3. Type of audit report
4. Window drawing/ manipulation of assets
5. Vouchers
6. Auditing techniques

Chapter 5

- Type of audit report

1. Qualified audit report (Conditional
2. Unqualified report (highly true and false)
3. Edulens report (Highly false and wrong)
4. Disclaimer report (not any opinion from auditor)

Chapter 1

1. Objectives of auditing and Types of Audit

Auditing is a systematic and scientific examination of the books of accounts to ensure that the balance sheet and profit & loss account show a true and fair view of the business. Its main objectives are:

A. **Primary Objective**: To tell the owners if the balance sheet correctly shows the company's financial position and checking if the profit and loss account show correctly with accuracy.

B. **Secondary (Incidental) Objectives**: To detect and prevent **frauds** and **errors**.
   i. Detection and prevention of frauds
   ii. Detection and prevention of errors

Audits can be classified based on legislation and periodicity as follows:

A. Based on Legislation

1. **Statutory Audit:** Audit conducted as per law. Mandatory for companies to ensure a true *and fair view* of accounts.

2. **Government Audit:** Done by government auditors (like C&AG) to check proper and efficient use of public funds.

3. **Private Audit:** Voluntary audit for individuals or firms not required by law; ensures accuracy of accounts and internal control.

B. Based on Periodicity

1. **Interim Audit:** Audit carried out between two annual audits. Helps prepare interim financial statements.

2. **Continuous Audit:** Audit work done continuously or at frequent intervals during the year; helps in early detection of errors and frauds.

***2. Define Auditing and Explain Process Used by Accountant to Defalcate Cash and Goods

Auditing is a systematic and scientific examination of the books of accounts to ensure that the balance sheet and profit & loss account show a **true and fair view** of the business.

Process of Defalcation (Fraud of Cash & Goods):
Accountants may misappropriate cash or goods by —

1. Not recording receipts in the cash book.
2. Destroying the carbon copy/counterfoil of receipts.
3. Entering a smaller amount on the receipt counterfoil and keeping the difference.
4. Not recording casual sales like sales of scrap, old newspapers, etc.
5. Misusing debtor payments by using teeming & lading methods.
6. Recording fake or excess payments.
7. Treating cash sales as credit sales.
8. Not recording cash donations received from charitable institutions.
9. Keeping the cash received from discounted bills, but still showing the bills as unpaid in the accounts.

Purpose: Personal gain by falsifying accounts.

3. Difference Between Error and Fraud

Basis	Error	Fraud
Meaning	An unintentional mistake in recording or processing accounting data.	A deliberate act of deception for personal gain.
Nature	Occurs due to carelessness, ignorance, or misunderstanding.	Committed knowingly and intentionally.
Intention	No intention to deceive.	Always done with the intention to deceive.
Effect	May or may not affect the trial balance or profit.	Always affects the accuracy and fairness of accounts.
Examples	Posting error, omission, wrong totaling, principle error.	Misappropriation of cash/goods, falsifying accounts, teeming & lading.
Detection	Easier to detect through checking and reconciliation.	Difficult to detect—requires detailed audit investigation.

Chapter - 2

Discuss the Types of Errors Found in the Books of Accounts During the Audit Process

4. Explain the type of error with examples

During an audit, an auditor may come across various errors and mistakes in the books of accounts. These errors may be unintentional or intentional, They are:

1. **Error of Omission** – When a transaction is not recorded at all.
   Example: Sale of TK 10,000 not recorded in the sales book.

2. **Error of Commission** – When a transaction is recorded in the wrong account, but the amount is correct. *Such as* payment received from A and credited to B's account.

3. **Error of Principle** – When a transaction violates accounting principles.
   Example: Purchase of machinery recorded as an expense.

4. **Compensating Error** – When two errors cancel each other, so trial balance still agrees. *Like,* purchase of ₹5,000 omitted and sale of ₹5,000 also omitted.

5. **Errors of Duplication:** When a transaction is recorded twice in the books.
   Example: Entering the same invoice in both purchase book and journal.

6. **Error of Original Entry** – When the wrong amount is recorded initially.
   Example: Payment of ₹2,500 recorded as ₹5,200.

**5. Explain GAAP principles / accounting concepts relevant to audit compliance

The Generally Accepted Accounting Principles (GAAP) or fundamental accounting concepts provide the framework auditors use to judge whether financial statements are true and fair. Compliance with these principles ensures reliability, uniformity, and comparability in reporting.

1. **Going Concern:** Business will continue indefinitely; assets shown at cost, not liquidation value.
2. **Historical Cost:** All assets recorded at actual purchase cost, not current market value.
3. **Conservatism (Prudence):** “Anticipate all losses but no profits.” – Apply lower cost or market rules for inventory.
4. **Matching Principle:** Match all expenses with related revenues of the same period

5. **Accrual Concept:** Record income and expenses when earned or incurred, not when cash is received or paid.
6. **Consistency:** Use the same accounting methods each year for comparability.
7. **Materiality & Full Disclosure:** Disclose all significant and relevant information.

These principles ensure fair, consistent, and reliable financial reporting for audit.

6. What are the risks of fraught and error?

Fraud and error create serious risks in financial reporting and auditing. They can lead to misstatement, loss, and loss of trust in the financial statements of an organization. They are

1. **Internal Control Faults:** Weak or poorly followed control systems may allow fraud or errors to occur. Such as, one person handling both receipt and recording of cash.
2. **Lack of Management Integrity:** When management is dishonest or lacks ability, fraud risk increases. For example, frequent change of accountants or auditors.
3. **Unusual Pressure:** Pressure to show higher profit or maintain market image can lead to manipulation. For instance, showing higher sales than actual to impress investors.
4. **Unusual Transactions:** Irregular or related-party transactions may be used to hide fraud. Such as making excessive payments to a related company.
5. **Insufficient Audit Evidence:** Missing or weak documentation makes it difficult to verify accuracy. Like differences between company records and bank confirmations.

Chapter 3

***7. Define Vouching and Points to Remember

Vouching means examining documentary evidence to verify the accuracy, authenticity, and truth of transactions in the books of accounts.

Points to Remember:

1. Check the date and client name carefully.
2. Verify authorization and proper signature.
3. Ensure revenue stamp if amount exceeds TK 5000.
4. Confirm that the transaction is for business purposes only.
5. Distinguish between capital and revenue expenditure.
6. Match the amount written in words and numbers.
7. Do not rely on the client's employees or accept missing vouchers.

8. Ensure vouchers are genuine, and properly filed.
9. Check calculations, totals, and postings for accuracy.
10. Make sure vouchers are serially numbered and marked “PAID” or “CANCELLED.”
11. Cross-check vouchers with entries in books of accounts.
12. Verify that internal control procedures are properly followed.

Purpose: To detect frauds/errors and confirm genuineness of transactions.

8. Define internal control and explain its techniques used by the organizations to safeguard assets.

Internal control is a system of policies, procedures, and measures implemented by a business to safeguard assets, ensure accurate accounting records, promote operational efficiency, and prevent fraud and errors.

Techniques of Internal Control:

1. **Separation of Duties** – Divide responsibilities among different employees to reduce the risk of error or fraud.
2. **Authorization and Approval** – Ensure all transactions are properly authorized before execution.
3. **Physical Verification** – Regular checks of assets to ensure they exist and are safe.
4. **Proper Documentation** – Maintain accurate records and supporting vouchers for all transactions.
5. **Independent Checks and Reconciliation** – Regular review of accounts by someone independent of transaction processing.
6. **Internal Audit** – Periodic review of operations and records to ensure compliance and detect irregularities.

9. Differences between internal and external audit

Basis	Internal Audit	External Audit
Purpose	To evaluate internal controls and improve efficiency.	To express an opinion on the truth and fairness of financial statements.
Conducted By	Employees of the organization (internal staff).	Independent professional auditors outside the organization.

Scope	Broader scope: operations, procedures, compliance.	Focused mainly on financial statements.
Frequency	Continuous or periodic.	Usually once a year.
Reporting	Reports to management.	Reports to shareholders or regulatory authorities.
Nature	Advisory in nature.	Statutory and mandatory.
Objective	Prevent errors and fraud, improve efficiency.	Detect errors or fraud and provide assurance on accounts.

Short Notes

1. Teaming and Leading

Teaming and leading (also called *lapping*) is a **fraudulent practice** where cash received from one customer is misappropriated and later replaced with receipts from another customer. Managers use to conceal temporary misappropriation of cash or cheques.

2. Verification of Assets

Verification of assets means confirming the actual existence, ownership, valuation, and disclosure of assets shown in the balance sheet. It ensures that assets are neither overstated nor fictitious. Such as physically inspecting machinery or confirming bank balances.

3. Types of Audit Report

An audit report expresses the auditor's **opinion on the truth and fairness** of financial statements.

1. **Unqualified Report:** Clean report — financial statements are true and fair.
2. **Qualified Report:** Some reservations or exceptions.
3. **Adverse Report:** Statements do not give a true and fair view.
4. **Disclaimer Report:** Auditor unable to form an opinion due to lack of evidence.

4. Window Dressing / Manipulation of Assets

Window dressing refers to **manipulating accounts to present a better financial position** than reality. Such as Overvaluing closing stock, showing fictitious assets, or deferring expenses.

5. Vouchers

Vouchers are **documentary evidence** supporting transactions recorded in the books of accounts. Examples: Invoices, receipts, bills, pay slips, etc.

6. Auditing Techniques

Auditing techniques are the **methods used by auditors** to collect evidence and form an opinion.

Common Techniques:

1. **Inspection:** Checking records and documents.
2. **Observation:** Watching procedures being performed.
3. **Inquiry & Confirmation:** Seeking information from management or third parties.
4. **Computation:** Verifying calculations.
5. **Analytical Review:** Comparing data to identify unusual trends or variations.

SONARGAON UNIVERSITY (SU)
Department: Business Administration
Program: BBA
Mid Semester Examination, Summer- 2025
Section: BBA0225-Euphorbia (31A3)
Course Code: BA 2205
Course Title: Auditing and Taxation
Name of the Course Teacher: Dr. Md. Masud Rana
Set- A

Full Marks: 30

Time: 1 hour 30 minutes

Instruction: (i) Assume any reasonable value for missing data.
(ii) Marks in the right margin indicate marks of the question.

Answer any three sets of questions out of four sets. All questions are of equal value.

1.	a.	Explain the process used by accountant to defalcate of cash and goods from the business.	05	(CLO 1, PLO 1)
	b.	Define auditing and describe the types of audit conducted in different organizations.	05	(CLO 3, PLO 1)
2.	a.	Elaborate the accounting concepts relevant to audit compliance to ensure true and fairness in books of accounts.	05	(CLO 4, PLO 5)
	b.	Discuss the types of errors found in the books of accounts during conduction of audit process.	05	(CLO 5, PLO 2)
3.	a.	Define vouching and describe the points to be kept in mind of auditor at the time of vouching.	05	(CLO 3, PLO 3)
	b.	Outlines the internal control techniques used by the organizations to safeguard its assets.	05	(CLO 3 PLO 3
4.		Write short notes on the following terms: (5*2)	10	(CLO PLO

i. Teeming and lading
ii. Verification of Assets
iii. Audit Report
iv. Window Dressing
v. Vouchers

Correct

CR.1

SONARGAON UNIVERSITY (SU)
Department: Business Administration
Program: BBA
Mid Semester Examination, Spring- 2025
Section: BBA0125- Elbert (30A1)
Course Code: BA 2203
Course Title: Auditing and Taxation
Name of the Course Teacher: Dr. Md. Masud Rana
Set- B

Time: 1 hour 30 minutes

Full Marks: 30

Instruction: **(i) Assume any reasonable value for missing data.**
(ii) Marks in the right margin indicate marks of the question.

Answer any three questions out of four questions. All questions are of equal value.

1.	a.	Define Auditing and explain the process used by accountant to defalcate of cash and goods from the business.	05	(CLO 1, PLO 1)
	b.	State the definition of auditing with its objectives and describe the differences between fraud and error committed in business.	05	(CLO 3, PLO 1)
2.	a.	Explain the principles of GAAP relevant to audit compliance to ensure true and fairness in books of accounts.	05	(CLO 4, PLO 5)
	b.	Outline the symptoms that expose the risk of fraud and error in an organization.	05	(CLO 5, PLO 2)
3.	a.	State the term Vouching and describe the points to be kept in mind of auditor at the time of vouching.	05	(CLO 3, PLO 3)
	b.	Distinguish between internal audit and statutory audit.	05	(CLO 3, PLO 3)
4.		Write short notes on the following terms: (5*2)	10	(CLO 3, PLO 1) (CLO 5, PLO 5)

i. Verification and valuation techniques in Auditing
ii. Internal Check
iii. Audit Report
iv. Window Dressing
v. Internal Control